CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E864BBBBC
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Steven J Kean <steven.kean@enron.com>
Sent: Sun, 21 Jan 2001 08:24:00 -0800 (PST)
To: Jeff Dasovich <jeff.dasovich@enron.com>
Cc: James D Steffes <james.steffes@enron.com>, Richard Shapiro <richard.shapiro@enron.com>, Linda Robertson <linda.robertson@enron.com>
Subject: Re: Summary of Proposed Short-term Solution for California's Energy Crisis

I think there is merit in pursuing this. A couple of comments:
It may be unduly complicated to get customers to provide the funding. Perhaps we should focus on the banks instead. The deal might be further funding in exchange for legislative and regulatory concessions on rates, transmission and generation siting and the rest of the items you outline.
Rubin would be great to have, but having watched Summers in action I'm not sure we need another ex-treas. Summers is superb, up-to-speed, and apparently willing to work on this. Linda -- how would Larry feel if we brought in his ex-boss (I know they're buddies but does Summers really need the help?).
Need to keep an eye on the ball for large customers-- many of whom are ours. they will continue to need some access to better rates. Perhaps the proposal could be converted to cash in exchange for demand reductions.

Jeff Dasovich
Sent by: Jeff Dasovich
01/20/2001 10:54 PM

To: skean@enron.com, Richard Shapiro/NA/Enron@Enron, James D Steffes/NA/Enron@Enron, Sandra McCubbin/NA/Enron@Enron, Susan J Mara/NA/Enron@ENRON, Paul Kaufman/PDX/ECT@ECT, Linda Robertson/NA/Enron@ENRON
cc:
Subject: Summary of Proposed Short-term Solution for California's Energy Crisis

----- Forwarded by Jeff Dasovich/NA/Enron on 01/20/2001 10:52 PM -----

Jeff Dasovich
Sent by: Jeff Dasovich
01/20/2001 10:51 PM

To: tyson@haas.berkeley.edu, pverleger@compuserve.com

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ENRON-1097921825011

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cc:
Subject: Summary of Proposed Short-term Solution for California's Energy Crisis

Dean Tyson:

It was a pleasure to see you again today. Phil, it was a pleasure to meet you and I look forward to working together. Since time is of the essence, I wanted to summarize where we left off at today■,s meeting regarding California■,
s energy crisis. That summary is attached. I've also attached three articles from the business section of today's Chronicle that arguably bolster our arguments for adopting the approach that we discussed at today's meeting.

Given the fact that the legislative process is moving rapidly, bankruptcy is a daily threat, and Dean Tyson will be attending the meetings in Davos, it appears that our window of opportunity is very small. It seems that success requires a meeting of the principals by the end of the week, if not sooner. The chances of success are obviously limited, but I think that we agreed that all concerned have nothing to lose and everything to gain by taking a shot. Your offer to help in the effort obviously increases the likelihood of success and is greatly appreciated.

My apologies in advance if I have mischaracterized any of the points made at the meeting. It represents a ■&first cut,■8 it will undoubtedly change as the details get worked out, and I■,m sure I■,ve missed something. So please don■,t
hesitate to edit the draft.

Please keep in mind that I have not had a chance to discuss this proposal internally. As such, I can■,t yet commit Enron to the specifics of the proposal. But I■,m confident that the company can support something akin to this structure and can let you and Phil know first thing Monday.

In addition, given the political environment in California, Enron has played a constructive role by providing low-key, behind the scenes advice and analysis to policy makers. That approach seems preferable in this effort as well.

Finally, Dean Tyson, I mentioned that Linda Robertson heads-up our Washington D.C. office. If she can help in any way, please don■,t hesitate to let me know. Both of you should feel free to call me at home over the weekend to discuss things further. My home phone is 415.621.8317.

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Best,
Jeff

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